

Multiple Choice (10 marks)

1. Tariffs and quotas
 - (a) result in higher domestic prices.
 - (b) promote trade between nations.
 - (c) do not necessarily affect domestic prices.
 - (d) affect domestic prices: the former raises them while the latter lowers them.
2. To deflate nominal gross domestic product (GDP) you must
 - (a) divide nominal GDP by the GDP deflator.
 - (b) multiply real GDP by the GDP deflator.
 - (c) divide real GDP by the GDP deflator.
 - (d) multiply nominal GDP by the GDP deflator.
3. Expansionary fiscal policy would best be prescribed to
 - (a) eliminate a recessionary gap
 - (b) reduce inflation
 - (c) reduce the interest rate
 - (d) eliminate an inflationary gap
4. If, for each additional unit of a variable input, the increases in output become smaller, which of the following correctly identifies the concept?
 - (a) Diminishing marginal productivity.
 - (b) Diminishing marginal utility.
 - (c) Increasing marginal utility.
 - (d) Increasing marginal productivity.
5. Suppose transfer payments are greater than Social Security contributions corporate taxes and retained earnings combined. In that case
 - (a) NDP will be greater than GDP.
 - (b) NI will be greater than GDP.
 - (c) PI will be greater than NI.
 - (d) DPI will be greater than PI.

True / False (10 marks)

Answer True or False

6. True or False: Credit cards are not included in the measurement of M_1 money supply.
7. True or False: Expansionary fiscal policy results in less crowding out when accompanied by expansionary monetary policy, regardless of the investment curve's elasticity.
8. True or False: When a nation is at the natural rate of unemployment, the inflation rate is always zero.
9. True or False: An increase in interest rates typically shifts the aggregate demand curve to the right, boosting economic activity.
10. True or False: For a monopoly, the marginal revenue curve is always below the demand curve due to the necessity of lowering prices to increase sales.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of excess capacity in monopolistic competition. How does this characteristic impact firms' pricing strategies and market efficiency?
12. Discuss how the purchase of an entertainment system manufactured in China by an American consumer affects U.S. national income accounts, particularly focusing on net exports and GDP.

End of Paper